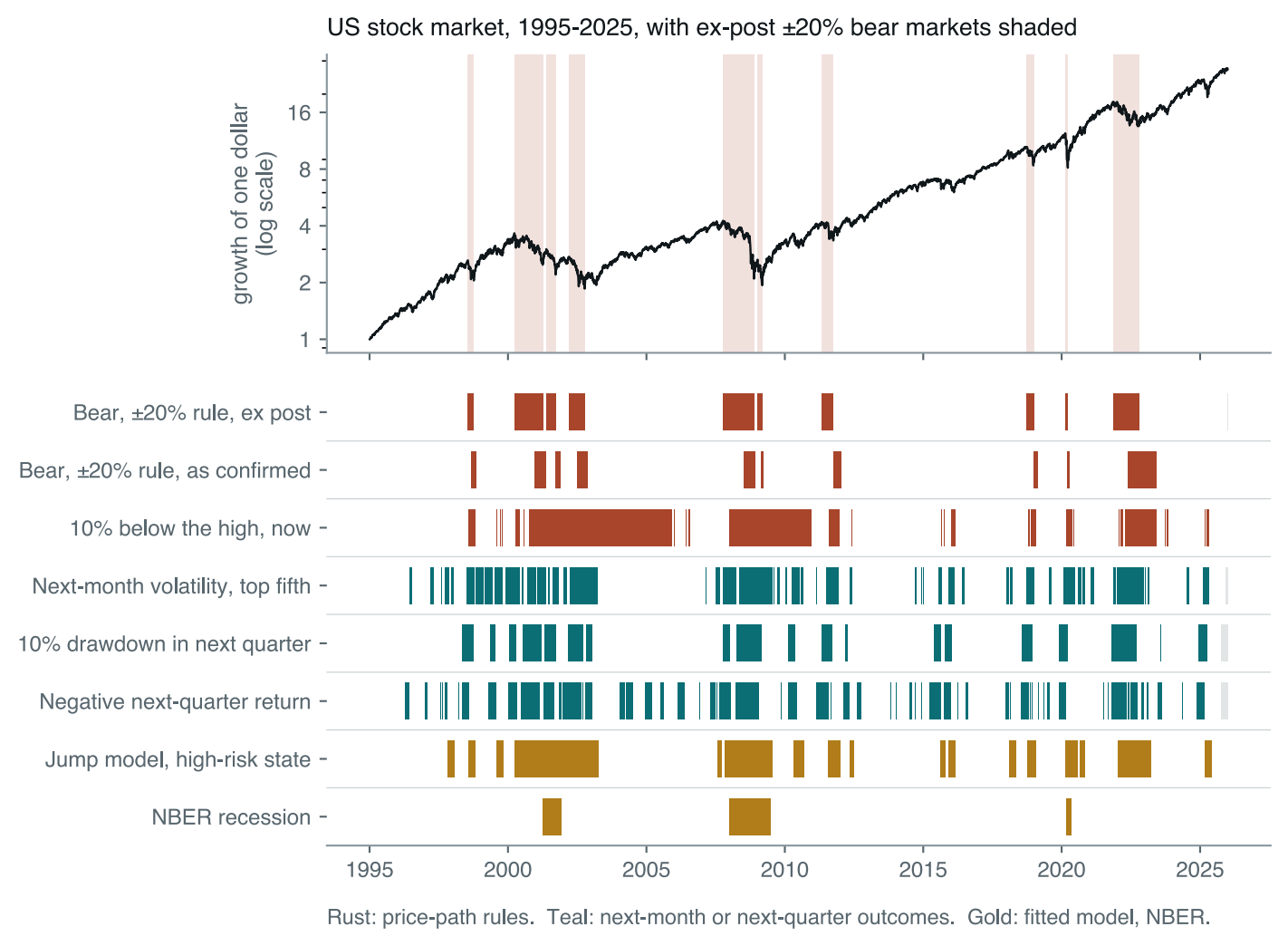

US stock market, 1995-2025, with ex-post ±20% bear markets shaded
growth of one dollar (log scale)
16
8
4
2
1
Bear, ±20% rule, ex post
Bear, ±20% rule, as confirmed
10% below the high, now
Next-month volatility, top fifth
10% drawdown in next quarter
Negative next-quarter return
Jump model, high-risk state
NBER recession
1995
2000
2005
2010
2015
2020
2025
Rust: price-path rules. Teal: next-month or next-quarter outcomes. Gold: fitted model, NBER.